India's trade deals with Canada, EU on track

送信者: EG South Asia Biweekly 受信日時: 2026-10-30 03:13

【メール原文】

Indian Prime Minister Narendra Modi's December travel schedule will cap trade agreements with Canada and the EU.||||||||||||||||

South Asia Biweekly
Customize Email Preferences

India’s trade deals with Canada, EU likely by year-end

29 Oct 2026 14:11 EDT Discover more on the Portal
• India: Government will ride out protests over electoral controversy

• India: Canada, EU trade deals on track for December

• India: IDBI privatization advances banking goals

• Pakistan: Dismissal of provincial government unlikely to materially improve security

India
Short-term trajectory:
Long-term trajectory:

Government will ride out protests over electoral controversy. Protests over the removal of millions of voters from India’s electoral rolls and the conduct of the chief election commissioner have faded during the festival season. The issue has drawn limited public support, especially because the election commission has launched a special drive to reinstate removed voters and has reversed some controversial electoral rules.

*
The opposition alliance is unlikely to drop the issue, and the Congress Party has planned a large rally for 1 November. The government does not see opposition-led demonstrations as a threat and has largely allowed them to proceed. Meanwhile, the supreme court will decide the fate of Chief Election Commissioner Gyanesh Kumar.
*
The protests have not produced a united opposition, which could have posed a real electoral challenge to Prime Minister Narendra Modi. Instead, divisions within the opposition alliance have weakened the movement. Youth leaders and opposition parties have also failed to unite.
*
The protests have sharpened caste divisions within Modi’s core electoral coalition. Hindu upper castes increasingly resent what they see as government favoritism toward the more numerous lower-middle castes, known as Other Backward Classes. Economic concerns over jobs and inflation, rather than the electoral controversy, are driving that discontent.
*

Recent by-election results suggest that the opposition has not benefited from youth-led protests, although upper-caste resentment has appeared in some local elections in northern India (see: Electoral roll protests further strain Modi's electoral coalition , 15 October 2026).

Canada, EU trade deals on track for December. Modi's December travel schedule will cap a series of free trade agreements (FTAs), beginning with the Canada-India trade agreement, which the two sides are expected to sign during the prime minister's visit to Canada on 11-12 December. New Delhi and Ottawa are also racing to conclude negotiations on a bilateral investment treaty before the visit.

*

Modi will then attend the G20 summit in Miami on 14-15 December, where India and the US will probably announce a revised framework agreement that gives President Donald Trump a concrete deliverable, especially as India finalizes deals with Canada and the EU. The revised framework will largely mirror the agreement announced in February 2025, but with added detail. The final tariff rate will be set once the US completes its Section 301 investigations. Secretary of State Marco Rubio visited India on 20-21 October in part to conduct back-end negotiations.

*

Modi will travel to Europe on 16-17 December, where he is expected to sign the EU-India FTA. The European Parliament will then ratify the agreement, which should take effect in the first half of 2027. During the Europe trip, India will also probably conclude a pending $8 billion deal to buy six German Type 214 diesel-electric submarines.

*

All three FTAs will give India preferential market access for low-skilled, labor-intensive goods such as apparel, footwear, and jewelry. The government hopes expanded access for Indian exports will create jobs and revive private investment.

IDBI privatization advances banking goals. On 13 October, Modi's cabinet approved the sale of a 60.7% stake in state-owned IDBI Bank to Canadian Fairfax Financial in a $5.6 billion deal. The government and state-owned Life Insurance Corporation of India (LIC) are each expected to retain stakes of up to 15% in the bank. Fairfax has said it plans to bring its Indian investments in insurance, investment banking, and wealth management under the IDBI umbrella.

*

The IDBI–Fairfax deal is the government's largest privatization and the largest foreign investment in India's financial services sector. The government and LIC invested a combined $3.2 billion in 2019 to help the bank clean up its balance sheet and pave the way for privatization.

Pakistan

Short-term trajectory:

Long-term trajectory:

Dismissal of provincial government unlikely to materially improve security. On 11 October, Prime Minister Shehbaz Sharif's government declared an emergency in Khyber Pakhtunkhwa and dissolved the provincial government led by the Pakistan Tehreek-e-Insaf (PTI), the party of jailed opposition leader Imran Khan. The federal government now runs the province through an appointed governor.

*

The government said it acted because the PTI-led provincial administration failed to contain the growing Tehreek-e-Taliban Pakistan (TTP) insurgency and did not cooperate sufficiently with federal counterterrorism efforts. PTI rejects that claim and argues that Islamabad withheld the funding and equipment needed to strengthen provincial security.

*

The move deals a major blow to PTI just as the party was preparing to march on Islamabad to demand Khan's release. The dismissal also strips PTI of control over its political stronghold, although it could boost the party's popularity over time.

*

Federal control of Khyber Pakhtunkhwa will allow the military, regional police, and provincial administration to coordinate more closely on operations against the TTP. However, the emergency declaration alone is unlikely to solve the security problem. Curtailing elected representation and expanding military operations will probably sharpen local grievances and weaken the public cooperation needed for an effective counterinsurgency.

Rahul Bhatia
Analyst, South Asia
bhatia.ne@eurasiagroup.net
Pramit Chaudhuri
Practice Head, South Asia
chaudhuri.ne@eurasiagroup.net
EG South Asia Biweekly
southasia@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmvtttixj1b2707mygkaskcrs

Opt Out | Customize Email Preferences